AAVIN Equity Partners II, LP and AAVIN Mezzanine Fund, LP

EXIT SUMMARY

June 23, 2017

COMPANY NAME & ADDRESS

CPI Luxury Group
10220 Norris Avenue
Pacoima, CA 91331
Phone 818 249 9888
Fax 818 249 4777

PRINCIPAL OFFICERS

Harold Jabarian, President/CEO
George Hasbanian, COO
Harry Karagozian, CFO

INVESTMENT DATE	June 30, 2016
EXIT DATE	June 23, 2017
AAVIN MONITORING PRINCIPALS	Thies Kolln- Observer David Schroder- Observer

TRANSACTION SYNOPSIS

On June 23, 2017, CPI Luxury Group, Inc. ("CPI" or the "Company") prepaid the remaining balance of $1,300,000 of AAVIN's notes. Financing was provided by additional credit provided by East West Bank, the Company's senior lender. CPI had previously prepaid $3,700,000 of principal on January 20, 2017. Financing for this previous prepayment was provided by HomeStreet Bank.

EXIT ANALYSIS

Consolidated Returns

Total Proceeds Received	Cost	Gain/(Loss)
$ 5,784,585.17	$ 5,000,000.00	$ 784,585.17

Date	Investment	Receipts	Net Cash Flows
6/30/2016	$ (5,000,000.00)	$ 100,000.00	$ (4,900,000.00)
9/15/2016		75,347.05	75,347.05
9/29/2016		75,347.05	75,347.05
10/14/2016		72,916.50	72,916.50
11/30/2016		75,346.15	75,346.15
12/30/2016		72,917.40	72,917.40
1/20/2017		3,745,000.00	3,745,000.00
2/28/2017		80,761.01	80,761.01
3/31/2017		43,200.01	43,200.01
5/1/2017		50,150.00	50,150.00
6/1/2017		19,500.00	19,500.00
6/23/2017		1,374,100.00	1,374,100.00
	$ (5,000,000.00)	$ 5,784,585.17	$ 784,585.17
		IRR	**25.75%**
		Multiple	**1.16**

AAVIN Mezzanine Fund, LP

Total Proceeds Received	Cost	Gain/(Loss)
$ 4,112,622.25	$ 3,554,811.00	$ 557,811.25

Date	Investment	Receipts	Net Cash Flows
6/30/2016	$ (3,554,811.00)	$ 71,096.22	$ (3,483,714.78)
9/15/2016		53,568.93	53,568.93
9/29/2016		53,568.93	53,568.93
10/14/2016		51,840.90	51,840.90
11/30/2016		53,568.03	53,568.03
12/30/2016		51,841.80	51,841.80
1/20/2017		2,662,553.44	2,662,553.44
2/28/2017		57,418.09	57,418.09
3/31/2017		30,713.70	30,713.70
5/1/2017		35,654.90	35,654.90
6/1/2017		13,863.90	13,863.90
6/23/2017		976,933.41	976,933.41
	$ (3,554,811.00)	$ 4,112,622.25	$ 557,811.25
		IRR	**25.75%**
		Multiple	**1.16**

AAVIN Equity Partners II, LP

Total Proceeds Received	Cost	Gain/(Loss)
$ 1,671,962.92	$ 1,445,189.00	$ 226,773.92

Date	Investment	Receipts	Net Cash Flows
6/30/2016	$ (1,445,189.00)	$ 28,903.78	$ (1,416,285.22)
9/15/2016		21,778.12	21,778.12
9/29/2016		21,778.12	21,778.12
10/14/2016		21,075.60	21,075.60
11/30/2016		21,778.12	21,778.12
12/30/2016		21,075.60	21,075.60
1/20/2017		1,082,446.56	1,082,446.56
2/28/2017		23,342.92	23,342.92
3/31/2017		12,486.31	12,486.31
5/1/2017		14,495.10	14,495.10
6/1/2017		5,636.10	5,636.10
6/23/2017		397,166.59	397,166.59
	$ (1,445,189.00)	$ 1,671,962.92	$ 226,773.92
		IRR	**25.75%**
		Multiple	**1.16**

BUSINESS DESCRIPTION

CPI imports and wholesales pearls and other related jewelry products. CPI purchases freshwater pearls direct from farmers in China, has the pearls processed in Hong Kong (drilling, bleaching and stringing operations) and imports the pearl strings to the United States. At its location in Los Angeles, the Company categorizes the pearls and does final assembly, boxing and shipping to stores or directly to end customers. CPI is the primary pearl provider to a number of large national accounts, including Macy's, JC Penney, Fred Meyer, Helzberg and Kohl's. CPI sells not only generic pearl jewelry, but also branded product to certain accounts (Belle de Mer to Macy's, Joy de Mer to Fred Meyer). Since 2011 CPI has also sold through an Amazon storefront as pearlzzz.com and since 2013 direct to Amazon's curated products program.

FINANCING

AAVIN Mezzanine Fund, LP (AMF) and AAVIN Equity Partners II, LP (AEPII) participated in a recapitalization of CPI's existing debt of $24,220,179 with Salus Capital (representing approximately $1,100,000 below the then outstanding balance with Salus as an incentive to close by June 30, 2016). East West Bank provided a revolving line of credit of $25,000,000, of which $20,003,179 was funded at closing.

AMF invested a total of $3,554,811 in the transaction. The investment was entirely in 17.5% subordinated debt with a five year term.

AEPII invested a total of $1,445,189 in the transaction. The investment was entirely in 17.5% subordinated debt with a five year term.

Summary of Projected Cash Flows

Net Investment*	2016**	2017	2018	2019	2020	2021
$ (4,900,000.00)	$ 2,291,667	$ 525,000	$ 525,000	$ 525,000	$ 525,000	$ 3,262,500
IRR	**20.14%**					

*$5,000,000 investment less a 2% closing fee.
** Assumes $2,000,000 repayment in 2016 from building refinancing, remainder of repayment as balloon.

HISTORIC DISCUSSION

CPI required the AAVIN loans to complete the refinancing of its previous senior debt because its new senior lender would not advance the full amount of the previous loans. It was CPI's stated intent to repay the AAVIN notes as quickly as possible and return to only a single senior lender as its outside financing source.

CPI was affected negatively in late 2016 by store closures at Macy's, its largest customer. However, management quickly reacted to reduce costs, including having the executives take significant compensation cuts. As a result, CPI was never in danger of missing its free cash flow coverage ratio covenants set by the senior lender. 2017 has started as a strong year for CPI with sales above plan, particularly over the Mother's Day holiday in May. Gross margins were slightly below plan, but were more than compensated by higher sales and continued limitation of executive compensation.

In January 2017, the Company refinanced its building with HomeStreet Bank, which resulted in $3.7 million being available to prepay the AAVIN loans. In connection with this repayment, the

interest rate on the remaining AAVIN loans increased from 17.5% to 18.0%. In June 2017, East West Bank, CPI's senior lender, refinanced the remaining AAVIN loans.

HISTORICAL FINANCIAL PERFORMANCE

	Fiscal Year Ended December 31,					YTD April
$000s	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**
Net Revenue	21,321	22,620	21,329	21,317	18,508	4,992
Cost of Sales	12,200	12,124	10,777	10,757	9,512	2,544
Gross Profit	9,121	10,496	10,552	10,560	8,995	2,448
Gross Margin	*42.8%*	*46.4%*	*49.5%*	*49.5%*	*48.6%*	*49.0%*
Sales, General & Admin	8,610	9,864	9,773	10,117	8,334	2,405
Pre-tax Income	511	632	779	443	661	43
Add Backs to Calculate EBITDA:						
Other Expense/(Income)	-	-	-	-	(1,070)	
Depreciation	222	183	232	352	315	89
Interest	865	1,568	1,899	1,951	2,080	580
Bank Charges	388	291	434	387	166	15
EBITDA	1,986	2,674	3,344	3,133	2,152	727

Balance Sheet as of April 30, 2017 (Whole $)

Cash	$ (17,748)	Accounts Payable	$ 9,495,365
A/R, net of allowance for bad debt	4,127,026	Accrued Liabilities	334,633
Disputed Items	1,232,856	Line of Credit (East West)	21,442,067
Inventory	29,868,408	Current Portion of 3rd Party LT Debt	9,333
Inventory Overhead	4,706,171	Shareholder Current Accounts (Tax)	(176,994)
Prepaid & Other	523,554	Other Current Liabilities	(553,889)
Total Current Assets	40,440,267	Total Current Liabilities	30,550,515
		AAVIN Notes	1,300,000
		Other 3rd Party LT Debt	3,695,386
		Shareholder Debt	968,382
PP&E, Net	1,561,624		
Deposits	55,000	Equity	5,542,608
Total Assets	$ 42,056,891	Total Liabilities & Equity	$ 42,056,891

STAGE/TRANSACTION TYPE
Recapitalization

GEOGRAPHY
Pacific (WA, OR, CA, AK, HI) – California

INDUSTRY
423940 – Jewelry, Watch, Precious Stone and Precious Metal Merchant Wholesalers

REFERRAL SOURCE
Business Capital (Investment Bank/Broker)

RECOMMENDING PARTNER
Thies Kolln - Partner
David Schroder – Senior Partner